



Quarterly Statement

Investor Report Q4 2022

FUND OVERVIEW

Alkhabeer Growth and Income Traded Fund (“the Fund”) is a closed-ended Shari’a-compliant investment traded public equity fund established in accordance with the applicable laws and regulations of the Kingdom of Saudi Arabia and regulated by the Capital Market Authority (CMA). The Fund’s investment objective is to increase the Fund’s Net Asset Value by boosting the performance of the Fund’s investments in the long term and generating current income to investors from the dividend distributions of the companies in which the Fund invests, in addition to part of the capital appreciation resulting from the growth of market value of the securities invested in. This is achieved by investing in a diversified portfolio of global equities, public and private equities, initial public offerings of companies, private placements, cash, and cash equivalents.

KEY FUND FACTS

TADAWUL SYMBOL 4701	BLOOMBERG SYMBOL AKGRINF AB EQUITY
FUND TYPE Closed-ended Traded Public Equity Fund	LISTING DATE 27 April 2022
FUND TERM 99 years, starting as from the Listing Date, renewable	NET ASSET VALUE PER UNIT SAR 9.4409
FUND ASSETS SIZE* SAR 949,459,719	FUND’S TOTAL CAPITAL SAR 1 BILLION
BORROWING AMOUNT* SAR 0.00	RATIO OF LOANS TO FUND’S TOTAL ASSET VALUE 0.00%
RATIO OF LOANS TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER 0.00%	VALUE OF FUND MANAGER’S INVESTMENT TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER N/A
PERCENTAGE OF FUND MANAGER’S INVESTMENT TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER 0.00%	RISK LEVEL High

FUND CURRENCY

Saudi Arabian Riyal (SAR)

INVESTMENT ADVISOR AND FUND SUB-MANAGER

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RATIO OF UNDERLYING FUNDS' MANAGEMENT FEES

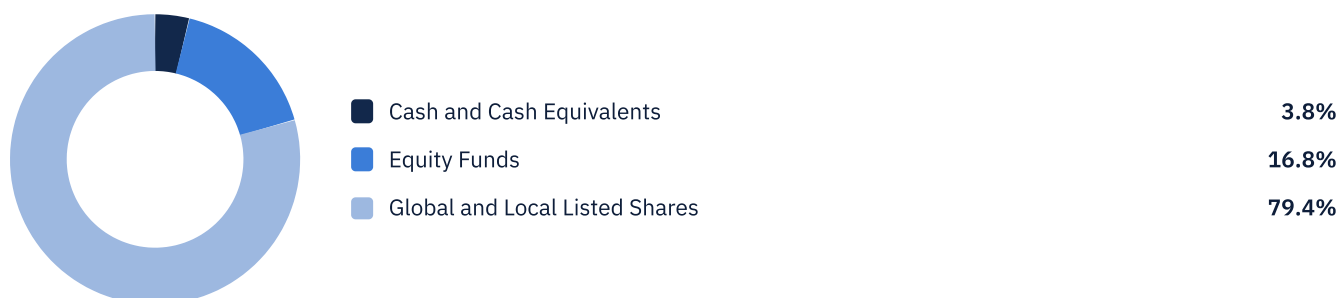
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NUMBER OF DAYS WEIGHTED AVERAGE

* As of 31 December 2022 (Unaudited).

FUND PORTFOLIO INVESTMENT CONCENTRATION RATIOS

FUND PORTFOLIO INVESTMENT CONCENTRATION RATIOS



FINANCIAL INDICATORS*

VALUATION FREQUENCY

Daily

FUND'S TOTAL ASSET VALUE*

SAR 949,459,719

FUND NET ASSET VALUE*

SAR 944,090,819

AMOUNT OF TRANSACTION EXPENSES OUT OF FUND AVERAGE NET ASSET VALUE FOR THE REPORTING QUARTER

SAR 56,254

RATIO OF TRANSACTION EXPENSES FOR THE REPORTING QUARTER TO FUND'S AVERAGE NET ASSET VALUE****

0.01%

RATIO OF TOTAL EXPENSES AND FEES TO FUND'S TOTAL ASSET VALUE**

0.37%

RATIO OF FUND'S COSTS TO FUND'S TOTAL ASSET VALUE***

0.37%

RATIO OF FUND'S COSTS TO FUND'S AVERAGE NET ASSET VALUE***

0.39%

TOTAL EXPENSES AND FEES FOR THE REPORTING QUARTER

SAR 3,530,868

RATIO OF TOTAL EXPENSES AND FEES FOR THE REPORTING QUARTER TO FUND'S AVERAGE NET ASSET VALUE**

0.39%

* As of 31 December 2022 (Unaudited).

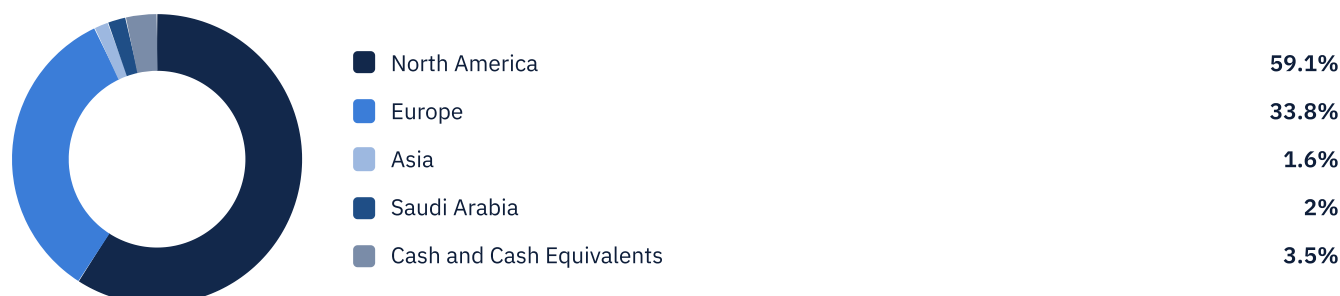
** Fund's expenses and fees are total Fund expenses during the reporting quarter, excluding financing costs.

*** Fund's costs are all Fund's fees and expenses.

**** Fund's average net asset value during the reporting quarter = SAR 910,535,598.

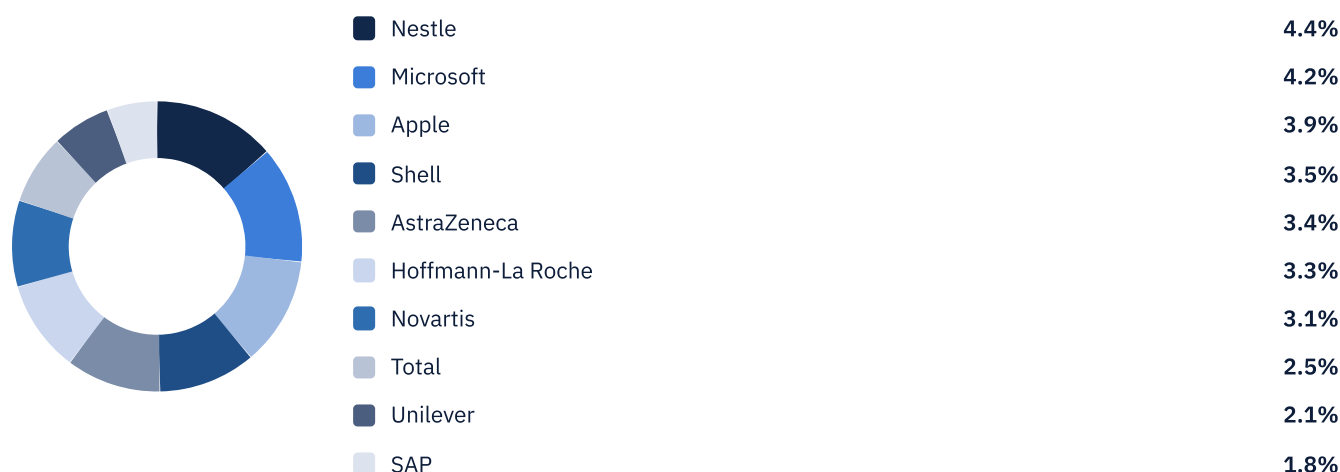
DISTRIBUTION OF INVESTMENTS BY GEOGRAPHY

DISTRIBUTION OF INVESTMENTS BY GEOGRAPHY



TOP 10 LISTED GLOBAL AND LOCAL EQUITIES COMPANIES

TOP 10 LISTED GLOBAL AND LOCAL EQUITIES COMPANIES



TOP SECTORS OF FUND'S UNDERLYING INVESTEE COMPANIES

TOP SECTORS OF FUND'S UNDERLYING INVESTEE COMPANIES



FUND ASSETS INFORMATION

LISTED SHARES

SAR 912,877,261

TOTAL CASH AND CASH EQUIVALENT

SAR 36,582,456

FUND MARKET VALUE INFORMATION*

AS AT THE LISTING DATE

SAR 1,000,000,000

AS AT 30 JUNE 2022

SAR 691,000,000

AS AT 29 SEPTEMBER 2022

SAR 617,000,000

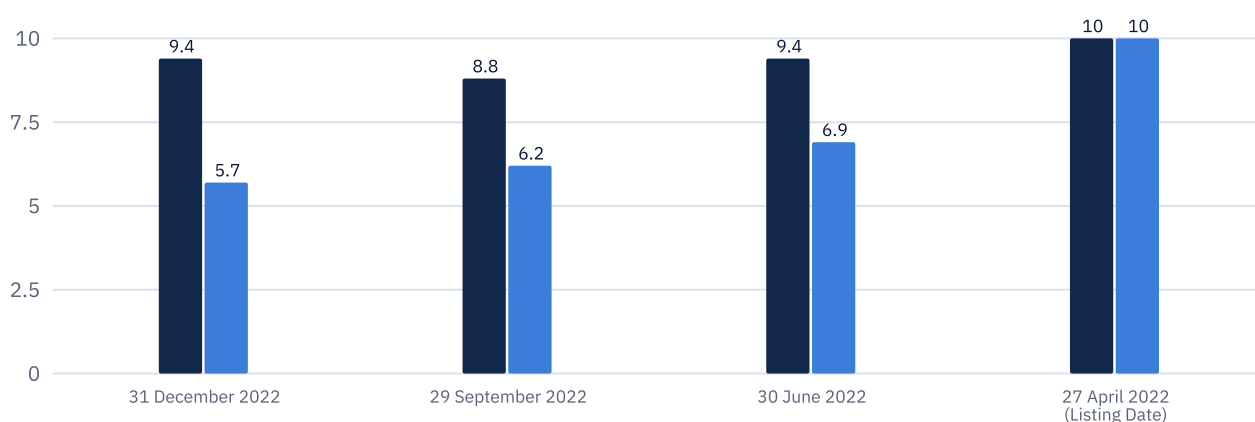
AS AT 29 DECEMBER 2022

SAR 569,000,000

NET ASSET VALUE AND UNIT PRICE PERFORMANCE*

NET ASSET VALUE AND UNIT PRICE PERFORMANCE*

Net Unit Price (SAR) Market Unit Price (SAR)



* Based on the Unit Price.

FUND UNITS INFORMATION

UNIT PRICE AS AT THE END OF Q4 (31 DECEMBER 2022)

SAR 5.69

CHANGE IN UNIT PRICE DURING THE CURRENT QUARTER COMPARED TO THE PREVIOUS QUARTER (FROM 29 SEPTEMBER 2022 TO 29 DECEMBER 2022)

-7.78%

UNIT PRICE PERFORMANCE SINCE THE LISTING DATE (FROM THE LISTING DATE TO END Q4 2022)

-43.10%

52-WEEK HIGH

SAR 9.06

52-WEEK LOW

SAR 5.66

NUMBER OF OUTSTANDING UNITS *

100,000,000 Units

DUAL UNIT PRICE OF MONEY MARKET FUNDS AND FIXED INCOME DEBT FUNDS

N/A

DIVIDEND DISTRIBUTION

DIVIDEND DISTRIBUTION POLICY

The Fund Manager aims to distribute 100% of the net returns on the Fund's investments, which only include the distributions of Fund's underlying listed shares twice a year. The Fund will distribute returns within Forty (40) business days after the date of issue of the semi-annual and annual financial statements. The Fund Manager may, at its discretion, distribute up to 50% of the realized and unrealized capital gains twice a year. The Fund will distribute realized and unrealized capital gains (if any) within ten (10) business days after the date of issue of the semi-annual and annual financial statements. Details of the cash distributions will be announced on Saudi Tadawul's website.

TOTAL DIVIDEND DISTRIBUTIONS FOR THE REPORTING QUARTER SAR 0.00	TOTAL DIVIDEND DISTRIBUTIONS FOR THE LAST SEMI-ANNUAL PERIOD SAR 0.00
DIVIDEND DISTRIBUTIONS FOR THE LAST SEMI-ANNUAL PERIOD PER UNIT SAR 0.00	RATIO OF DISTRIBUTED DIVIDENDS IN THE REPORTING QUARTER TO INITIAL UNIT PRICE 0.00%
RATIO OF DISTRIBUTED DIVIDENDS TO UNIT PRICE 0.00%	GAINS RECEIVED ON THE FUND'S UNDERLYING LISTED SHARES SAR 3,530,952
REALIZED LOSS ON THE FUND'S INVESTMENTS SAR (402,446)	UNREALIZED GAIN ON THE FUND'S INVESTMENTS SAR 6,955,581
GAIN FROM FOREIGN CURRENCY RATE DIFFERENCES SAR 21,354,146	TOTAL INCOME FOR THE REPORTING QUARTER SAR 31,438,232
TOTAL INCOME FOR THE REPORTING QUARTER TO UNIT PRICE AS AT 31 DECEMBER 2022 5.53%	

FUND PERFORMANCE CRITERIA AND INDICATORS

BENCHMARK Alkhabeer Global Equity Index	INITIAL UNIT PRICE (AT THE INITIAL OFFERING) SAR 10
TOTAL RETURN TO NET ASSET VALUE PER UNIT SINCE THE DATE OF INCEPTION -5.59%	P/E RATIO (LAST TWELVE MONTHS) 15.30

DESCRIPTION OF THE FUND'S BENCHMARK

Alkhabeer Global Equity Index is an index especially created for the Fund in collaboration with the Index Service Provider, who will calculate the valuations of the companies that are included in the Index and will manage the Index on behalf of the Fund. The Index includes companies which are diversified by sector and size in the largest global capital markets, as well as the largest leading companies in the Kingdom of Saudi Arabia. The companies will be filtered based on a market value exceeding US \$ 100 million, and a trade value exceeding US \$ 1 million per day. The Index includes 160 global companies representing the largest global capital markets, in addition to the largest 10 listed companies on the Saudi Stock Exchange, compliant with the guidelines of the Shari'a Supervisory Committee. The global companies included in the index are divided by market cap into three categories: the largest 70 in terms of market value of free float shares among large market cap companies, the largest 50 companies in terms of market value of free float shares among medium market cap companies, and the largest 40 companies in terms of market value of free float shares among small market cap companies.

Large market cap companies are defined as companies representing the largest market capitalization. It is the segment which represents up to 70% of the aggregate capitalization of the market combined, while the medium cap segment represents more than 70% up to 85% of the aggregate market capitalization, and the small cap represents more than 85% up to 100% of the aggregate market capitalization.

↗ PERFORMANCE ASSESSMENT CRITERIA AND INDICATORS

	ALKHABEER GROWTH AND INCOME TRADED FUND	ALKHABEER GLOBAL EQUITY INDEX
NET ASSET VALUE PER UNIT AS AT THE BEGINNING OF THE PERIOD	SAR 8.7698	82.3496
NET ASSET VALUE PER UNIT AS AT THE END OF THE PERIOD	SAR 9.4409	88.7616
UNIT PERFORMANCE	7.65%	7.79%

📄 OWNERSHIP OF FUND INVESTMENTS

OWNERSHIP	PERCENTAGE (%)
FREEHOLD	100%
LEASEHOLD	0%

↗ RETURNS

ITEM	REPORTING QUARTER	YEAR TO DATE (YTD)	ONE YEAR*
TOTAL RETURN TO NET ASSET VALUE PER UNIT (FUND PERFORMANCE)	7.65%	-5.59%	-5.59%
BENCHMARK PERFORMANCE	7.79%	-6.71%	-6.71%
PERFORMANCE SPREAD	-0.14%	1.12%	1.12%

* As at the Listing Date, 27 April 2022

📈 PERFORMANCE AND RISKS

PERFORMANCE AND RISKS CRITERIA	REPORTING QUARTER	YEAR TO DATE (YTD)	ONE YEAR*
STANDARD DEVIATION ¹	9.93	15.11	15.11
SHARPE RATIO ²	0.29	-0.56	-0.56
TRACKING ERROR ³	7.11	14.90	14.90
BETA ⁴	0.70	0.51	0.51
ALPHA ⁵	-1.05	0.73	0.73
INFORMATION RATIO ⁶	-0.15	0.05	0.05

* As at the Listing Date, 27 April 2022

1. Standard Deviation is a measure of risk. It is calculated as any volatility in returns over a period of time. The lower the volatility, the more homogeneous the set of returns.
 2. Sharpe Ratio is a risk-adjusted performance measure. It is calculated as the difference of the Fund Manager excess return over the risk-free rate, divided by the Standard Deviation. The greater a portfolio's Sharpe Ratio, the better its risk-adjusted performance.
 3. Tracking Error is a measure of risks. It is calculated as the Standard Deviation between the Fund Manager's return and the Benchmark's return. The lower the Tracking Error, the lower the Fund Manager deviates from the Benchmark.
 4. Beta is a measure of the average historical sensitivity of the Fund's returns compared to market returns. It is calculated by using the covariance of the Fund and the market on the variance of the market.
 5. Alpha measures any excess return achieved by the Fund compared to the performance of the index.
 6. Information Ratio is a risk-adjusted performance measure. It is calculated as the active return of the Fund Manager, divided by its tracking error. The higher the Information ratio, the higher the Fund Manager ability to generate excess returns per Unit of excess risk.
- The performance and risk parameters were calculated based on the Unit's net value.

FUND HIGHLIGHTS AND ANY FUNDAMENTAL OR NON-FUNDAMENTAL CHANGES AFFECTING THE PERFORMANCE OF THE FUND

OVERVIEW OF GLOBAL MARKETS

- The global equity markets were bearish with increased volatility in 2022, driven fundamentally by inflation, higher interest rates, supply chain disruptions, Europe's geo-political concerns and China's Zero-Covid Policy. Given these factors, profit growth and profitability expectations were downsized to the minimum, resulting in weak performance of the major global equity indices.
- The IMF expects the global economy to grow by 2.7%, with developed economies growing by 1.1% and emerging markets by 3.7% in 2023.
- A positive momentum is expected with the emergence of signs of lower inflation and the end of the interest rate hikes cycle by central banks, which will prompt most investors to re-evaluate their equity investments and cash allocations in line with global market valuations which are trading at unprecedented levels. However, in the short term, fluctuations in global markets are expected to increase due to higher interest rates and tighter monetary policy.

↗ FUND NET UNIT VALUE PERFORMANCE COMPARED TO THE BENCHMARK SINCE THE INCEPTION OF THE FUND

FUND NET UNIT VALUE PERFORMANCE COMPARED TO THE BENCHMARK SINCE THE INCEPTION OF THE FUND

■ Fund ■ Index



☎ FOR FURTHER INFORMATION

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